Here, $F_m$ represents import index (which is measured as the index of cost in terms of quantity of factors of production employed per unit of imports).

## 7.8 Balance of Trade Vs Balance of Payments

Balance of Trade and Balance of Payments are two different concepts in the subject of international trade.

### 7.8.1 Balance of Trade (BOT)

Balance of Trade (BOT) refers to the total value of a country's exports of commodities and total value of imports of commodities. Only export and import of commodities are included in the statement of Balance of Trade of a country. Movements of goods (export and imports of commodities) are also known as **'visible trade',** because the movement of commodities between countries can be seen by eyes and felt by hands and can be verified physically by custom authorities of a country.




**Favourable BOT**

When the total value of commodity exports of a country exceeds the total value of commodity imports of that country, it is said that the country has a **'favourable'** balance of trade.

**Unfavourable BOT**

If total value of commodity exports of a country is less than the total value of commodity imports of that country, that country is said to have an **'unfavourable'** balance of trade.

### 7.8.2 Balance of Payments (BOP)

BoP is a systematic record of a country's economic and financial transactions with the rest of the world over a period of time.




When a payment is received from a foreign country, it is a credit transaction while a payment to a foreign country is a debit transaction. The principal items shown on the **credit side** are exports of goods and services, transfer receipts in the form of gift etc., from foreigners, borrowing from abroad, foreign direct investment and official sale of reserve



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